



Corporate structure

A company's structure—the way in which it is organized—can have a major impact on the way it performs. There are several models of corporate structure typically used in the business world, and they continue to evolve. The first consideration is whether power should be centralized at the top, with decision-making in the hands of a few key senior employees, or decentralized, with more power in the hands of staff, and with fewer people to go through for approval.

Choosing a structure

Most start-ups have a centralized structure. More complex structures either evolve or are designed as the company grows, depending on the nature and size of the business, the complexity of the work, any requirement for instant expertise, and the geographical location of parts of the business.

Centralized

Power rests in the hands of a few people, with a long chain of command.

- Power at the top
- Rigid
- Conventional
- Inflexible
- Slow response to change



Functional

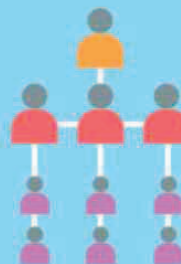
Good for strict control and formal relationships, as in the military.
See pp.68–69.



CEO COORDINATES

Divisional

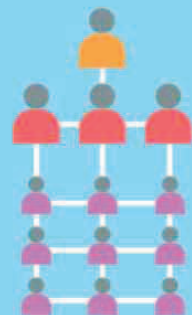
Suits companies with many global offices or product lines.
See pp.70–71.



CEO COORDINATES
AND EACH DIVISION
RESPONSIBLE FOR
GENERATING PROFIT

Matrix

Good for large corporations with complex projects in different locations.
See pp.76–77.



DIVISIONAL AND
FUNCTIONAL
MANAGERS
COORDINATE